

Diwanji says. “There are norms and limits to how much they can issue, but they are issued at higher interest rates to meet liquidity needs. While this may not help reduce costs since AAA-rated CDs are priced slightly higher than sovereign money rates, it at least provides liquidity,” he adds.

However, banks aren’t overly concerned about low CASA right now due to high loan demand. As long as they can get funds, they can keep lending and generate revenue. Banks are also utilising technology to streamline operations and reduce costs to maintain profit margins.

During the fortnight ending March 22, 2024, banks’ deposits grew 13.5% YoY while lending surged 20.2%, per CareEdge. With banks’ deposit growth lagging their credit growth, the credit-deposit ratio, which indicates how much money banks are lending compared to their deposits, is at its highest in 10 years, hovering around 80%.

WHAT LIES AHEAD

With RBI expected to lower the repo rate, the rest of 2024 could be favourable for banks that are struggling with falling CASA ratios. “The RBI may consider rate cuts from October 2024 after reviewing factors such as ongoing inflationary pressures, the global growth-inflation dynamic, and the policy rate environment,” says Dhawal Dalal, CIO-Fixed Income at Edelweiss MF.

But BNP Paribas cautions against misinterpreting the potential cuts as a sign of immediate relief for bank margins, since repo-linked mortgages and most prime corporate loans re-price almost immediately. However, it will set “the ground for benign margin expansion by easing the cost of funds and accelerating high-yield fixed-rate loan disburse-



“Wealthier individuals with knowledge about MFs move their money first. They moved out money from savings accounts and invested in liquid funds/MFs, causing the initial drop in CASA ratios”

VIRAT DIWANJI

HEAD, CONSUMER BANK,
KOTAK MAHINDRA BANK

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ments. The cost of funds benefit will be gradual and will come from FD re-pricing and increased CASA momentum,” it says.

This year’s monsoon will also play a major role. With many factors at play, the timing of the first rate cut is uncertain. As people get used to high returns from other asset classes such as MFs and equities, experts doubt if CASA ratios will return to their earlier levels. “Historically, when a declining interest rate regime starts, more money tends to stay in current and savings accounts. Whether this will happen again is something we have to wait and watch,” says Diwanji. “The CASA ratio will certainly improve a bit, but returning to original levels is doubtful.”

On the other hand, Bank of Baroda’s Sabnavis expects CASA to remain the same. “A drop in interest rates won’t likely affect the CASA ratio. The rate cut needs to be accompanied by a decline in competition for deposits,” he says.

While analysts have differing views on the impact of rate cuts on the CASA ratio, all eyes are on RBI’s policy action in October. **BT**

@teena_kaushal